

SKEENA RESOURCES LTD SKE

September 14, 2026 - 11:48am EST
by

beethoven

2026 2027

Price:	29.92	EPS	0	0
Shares Out. (in M):	135	P/E	0	0
Market Cap (in \$M):	4,036	P/FCF	0	0
Net Debt (in \$M):	750	EBIT	0	0
TEV (in \$M):	4,786	TEV/EBIT	0	0

Description

Skeena Gold & Silver (SKE; spot gold: \$4,281) shares are materially undervalued, and 4 catalysts should facilitate a rerating. (1) SKE offers the opportunity to capture the gap between the NPV the company disclosed based on its 2023 43-101 (technical report), and a revised NPV that it will issue when it files an updated 43-101 in January. Based on my estimates, SKE's NPV will increase to \$50 in January from \$36 at present, driven by a ~30% increase in resources. Optically, the market will see a stock currently trading at 0.83x a backward-looking NPV, selling at 0.60x NPV in January. (2) SKE sits at a favorable spot on the Lassonde Curve as it is a pre-revenue gold & silver miner that will begin production in 2Q:27. Mining shares typically narrow the gap with NPV as production approaches due to increased institutional interest. (3) SKE's Eskay Creek mine was named the best mining project in the world out of 600 pre-revenue assets by *Mining Journal Intelligence*, reflecting its high gold grades (5.5 g/t in years 1-5 vs. global average of 1.2 g/t), high silver grades (68 g/t) and low AISC (\$700/oz years 1-5 vs. global average of \$1,785/oz). FCF generation will be prodigious with ~\$1.2B generated in year 1 (my estimate), allowing SKE to pay off all of its \$750mn in debt after one year of production. (4) By year 2, the company will have the balance sheet and FCF to initiate a dividend, repurchase shares and/or acquire junior miners, adding to its reserves. Comps trade at 1x NPV, supporting 68% upside.

SKE is the story of a contrarian entrepreneur who went out looking for an out-of-favor asset and ended up with the highest-quality gold deposit globally. Executive Chairman Walter Coles first attempted to start a uranium mine with his father in Virginia. Despite having identified a high-quality uranium asset, they could not obtain permits. Disillusioned with the U.S., Coles went to Western British Columbia in search of a more favorable regulatory environment and acquired two assets from Barrick Gold.

The Eskay Creek property was a closed mine that operated underground from 1995 to 2008 under Barrick. At that time, the site was regarded as the highest-grade gold operation in the world, with 45 g/t gold and over 2,000 g/t silver. After producing 3.3mn ounces of gold and 162mn ounces of silver, Barrick shut down the mine because it could not obtain permits for open-pit mining.

Barrick's management then searched for large deposits/acquisitions in other parts of the world and stopped paying attention to BC. A right-leaning government came in and made obtaining permits easier, and a hydroelectric facility was built 17km away from Eskay, providing electricity at US\$ 0.06 / kWh.

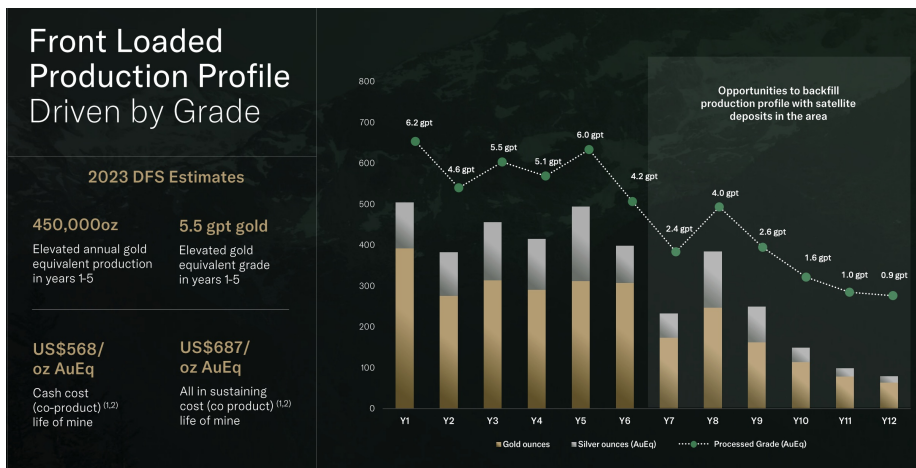
Coles saw an opportunity and first acquired the smaller Snip property (2017), then Eskay Creek (2020) from Barrick, and commenced surface drilling. Skeena's 2023 technical report shows 3.7mn Proven and 0.9mn Probable gold equivalent ounces at Eskay Creek. The 4.6mn total ounces reflect what engineers believe can be economically mined out of Eskay's 5.5mn Measured & Indicated ounces (what geologists believe is in the ground).

Based on that study, *Mining Journal Intelligence* named Eskay Creek the best mining project in the world out of 600 assets globally. Its report focused on 13 criteria in 6 categories: economics, jurisdiction, confidence, financeability, engineering/metallurgy and geology. The second best project was Rupert Resources' Ikkari deposit in Finland. Rupert was acquired by Agnico Eagle (AEM) in April at a 67% premium and a valuation of \$500-\$600/oz of reserves. Production at the Ikarri mine is not expected until 2030 and AEM will need to invest significant capex to develop the mine. SKE currently trades at \$825/oz of reserves in the ground (using market cap + debt and ignoring cash, which will be spent on development) with production expected next year.

Earlier this year, Skeena raised \$750mn in 8.5% senior secured notes, replacing higher-cost financing, and bought back 2/3rds of its gold stream. SKE is the first pre-revenue company to issue a public high-yield bond, demonstrating the market's confidence in the future FCF potential of the Eskay Creek mine. The financing fully covers capex to production, which is expected to begin in 2Q:27. SKE is fully financed and fully permitted.

Eskay Creek is located within Tahltan (indigenous) territory. Coles smartly struck a generous deal with the Tahltan Nation in which it will make hundreds of millions of dollars in return for their cooperation on the project. Earlier this year, SKE granted the Tahltan Nation an additional 1.5% net smelter return (NSR) royalty on Eskay Creek, or 2.9mn shares of SKE, or some combination of the two. For simplicity, I've assumed the Tahltan Nation takes the shares and included an additional 2.9mn shares in outstanding to get to 134.9mn.

Based on its last feasibility study in 2023, SKE expects a front-loaded production profile with 450k oz gold/yr in years 1-5. In its corporate presentation, SKE illustrates an NPV5% of US\$5.5B (\$40.53/share) and average annual after-tax FCF of \$790mn in the first 5 years at current exchange rates and spot prices (USD/CAD = 1.39; \$4,300 gold; \$63 silver). The market sees a stock trading at 0.78x NPV and 5.4x FCF (in years 1-5). It's important to note that SKE's NPV is a project-NPV and doesn't include the company's capital structure. In other words, it's overstated. I estimate that its company-NPV (which incorporates the need to repay debt) is ~\$36 and that the stock is trading at 0.83x company-NPV.



By January, SKE will issue an updated NI 43-101 that will include (1) the Snip project (another 0.5mn oz in estimated reserves), (2) the increased pit at Eskay Creek, (3) potential reserves at Albino Lake, and (4) the lead, zinc and antimony byproducts at Eskay. In total, SKE expects its 4.6mn in current reserves to increase to ~6mn (reflecting gold and silver only), and its front-loaded production profile to morph into an even ~450k gold-equivalent ounces per year over the next 10 years, trailing off in years 11-15.

Based on my estimates, SKE's updated company-NPV should come in around \$6.9B or \$50/share. This estimate incorporates paying down \$750mn in debt and spending \$150mn in growth capex on the Snip project. In January, the market will see a company trading at 0.60x company-NPV and 5.3x FCF (average FCF of \$765mn, or \$5.65 per share, over years 1-10 after debt repayment and growth capex) that will begin production within months. At 1x company-NPV, SKE would trade at 9x average FCF in years 1-10. All numbers below are in USD and reflect \$4,300 gold.

	Sept 2026A	Jan 2027E	Δ
Project NPV	\$5,468	\$7,588	
Project NPV/share	\$40.53	\$56.25	39%
P/Project NPV	0.74x	0.53x	
Company NPV	\$4,886	\$6,781	
Company NPV/share	\$36.22	\$50.27	39%
P/Company NPV	0.83x	0.60x	
Upside to Company NPV	21%	68%	

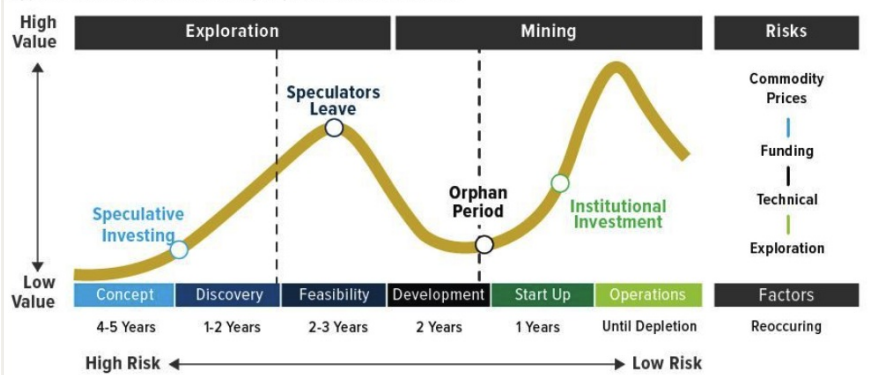
Model estimates:

- \$4,300 gold
- Production of 450k gold-equivalent oz in years 1-10, trailing off through year 15. In total, 5.8mn oz are mined.
- Smelter costs of 4.8% of gross revenues and royalties of 6% of net smelter revenues.
- AISC of \$700/oz in years 1-5, \$1,100/oz in years 6-10, increasing thereafter as production trails off.
- Effective tax rate of 36.5%
- SKE invests \$150mn in growth capex to develop the Snip mine, spread over years 3 and 4.
- SKE generates \$1.2B in FCF in year 1, partially due to NOLs, which allows it to pay down all of its debt after one year of production.
- The model reflects only the value of gold and silver and includes no value for antimony (could add \$1/share to NPV at current market prices). Lead and zinc byproducts were given no value as SKE is likely to get minimal value, if anything.

A 10% change in the gold price changes NPV by 16%. At \$5,000 gold, SKE has 112% upside to its company-NPV of \$63. SKE shares are currently reflecting \$3,200 gold; the price at which NPV equals the current share price. SKE sits at a favorable spot on the Lassonde Curve, as the market value of pre-production gold mines typically increases toward NPV as production approaches (Q2:27).

The Lassonde Curve: Lifecycle of a Mine

Hypothetical Overview from Early Exploration to Production



Source: Pierre Lassonde, EQM Indexes, U.S. Global Investors

Gold

Gold is different from most commodities in that almost every ounce of gold mined still exists. There are ~6.9 billion troy ounces above ground currently valued at ~\$30T. Annual mine production adds ~1.6% to the existing stock. Of the above-ground stock, ~45% is in jewelry, ~22% is in bars, coins and ETFs, ~17% makes up central bank reserves, and ~15% is the other category (industrial, medical, decorative). Annual supply and demand are roughly balanced. The gold price is set by the reservation prices of existing holders (the prices at which they're willing to sell and the willingness of new buyers to meet those prices).

Two new sources of demand contributed to gold roughly doubling in price in the last 4 years. After Russia invade Ukraine and the US froze Russian USD reserves, there was an acceleration in diversification away from reserve assets vulnerable to sanctions. Global central banks, which collectively purchased ~500 tonnes annually from 2010-2021, doubled their buying to just over 1,000 tonnes from 2022-2025. Central banks went from 10% to 20% of annual gold demand.

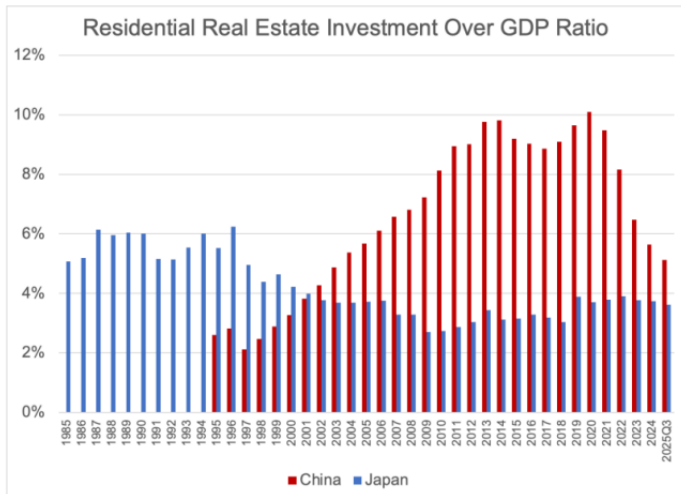
More recently, Chinese retail demand became a greater factor in the gold and silver markets, driven by China's ongoing property crisis. The average Chinese household has a narrow set of investment options due to capital controls:

- Domestic property, which entered a prolonged downturn after being the primary method of savings
- Chinese A-shares, which performed poorly for several years
- Bank deposits, with declining interest rates
- Wealth management products, which became less attractive because many of the trust companies that issued them experienced financial distress following the property crisis
- Gold and silver

Gold emerged as one of the most accessible and trusted stores of value, and a bit of a mania ensued resulting in premiums over spot soaring. In 2025, Chinese demand for gold bars and coins increased by 28% y/y to nearly a third of global purchases in the category. As gold became less affordable, demand switched to silver. Both metals peaked in Q1 and are well off their highs. Interestingly, Western retail demand, which is the typical driver of surges in gold and silver prices, was not a factor in the recent rally suggesting the bull market in precious metals is likely not over. CB demand is likely to remain well supported given continued geopolitical tensions (Iran war, Venezuela, Cuba, Ukraine war), while China's property crisis is projected to worsen.

Earlier this year, Kenneth Rogoff (Harvard) and Yaunchen Yang (IMF) published research comparing China's property boom and bust to Japan's. China's bubble was bigger, with residential real estate investment peaking at 10% of GDP vs. 6% for Japan.

Figure 5. Real Estate Investment in China and Japan¹⁰



Sources: National Bureau of Statistics of China, Cabinet Office of Japan, and authors' calculations

After Japan's real estate bubble popped, returns remained negative for 15 years. Negative returns have been the case in China for just the last few years.



The authors concluded that “With some structural and cyclical characteristics closely resembling Japan’s pre- and post-bubble conditions, China appears to be in the middle stages of a multi-year correction. [In addition] China’s post-boom adjustment is unfolding in a more difficult macroeconomic and demographic context than Japan’s.” https://www.brookings.edu/wp-content/uploads/2026/03/4_Rogoff-Yang_unembargoed.pdf

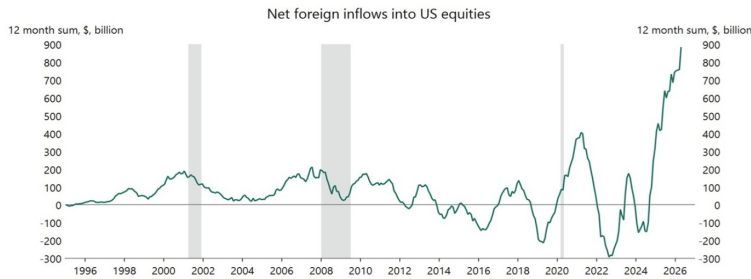
Gold prices appear well supported given ongoing CB and Chinese demand. The popping of the AI bubble could be the catalyst for further upside.

Gold is a safe haven asset that typically sees demand surge after confidence is lost in other large asset classes. In the 1970s, high inflation and oil shocks led to a loss of confidence in fiat currency and the government’s ability to control inflation. In the early 2000s, the dot com bust led to a loss of confidence in tech stocks. In 2008-2011, there was a loss of confidence in the banking system combined with money printing. During Covid, there was another large expansion of the money supply. More recently, there was loss of confidence in the USD as a reserve asset and in the value of property in the second-most populous country.

Today, it’s virtually consensus that we’re in an AI bubble, with bears believing it’s ‘99 and bulls believing it’s ‘96. Large foreign flows into any equity market typically occur in the late innings of a bull market. The chart below illustrates the scale of the AI bubble in comparison to the dot com, real estate and Covid bubbles as measured by foreign flows. In a blue-sky scenario where gold rises to \$7,000, 65% above current spot prices, SKE’s company-NPV would increase to \$100.

Record-high global demand for US equities

APOLLO



Note: Includes both private and official. Sources: US Department of Treasury, Macrobond, Apollo Chief Economist

Risks

1. Capex overruns would require SKE to raise more capital. The company's priority would be to add to its HY deal, but equity issuance is possible. It's difficult to see more than \$130mn (3% dilution) being required under such a scenario.
2. Execution issues with ramping up the mill, etc. Eskay is a brownfield project. This is mining.
3. A sharp decline in the price of gold and particularly silver. SKE will be the largest silver producer in Canada and its share price may be more influenced by silver prices than the average gold miner.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Updated 43-101 in January with a ~30% increase in reserves and a revised company-NPV. My estimate is \$50/share, showing SKE to be trading at 0.60x NPV.
- Production beginning in Q2:27.
- Paying off all of its \$750mn in debt after a year of production.
- Potential initiation of a dividend or buyback in year 2.
- Potential acquisition by a senior producer that needs to replace depleting reserves. SKE offers a sizable production profile (450k ounces per year for 10 years), a high-quality asset and management team, and a low cost operation. SKE trades at \$825/oz of reserves in the ground, and has an average AISC of \$900/oz over the next 10 years, leaving a lot of room for a buyer to pay a premium and still earn a healthy margin (\$4,300 gold price - \$825 - \$900 = \$2,575/oz).

Messages

No messages